Complete Financial Literacy

Module 5 Study Guide

Building Wealth Over Time

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: The Power of Consistency and Compound Growth

In this lesson: Wealth is built through small regular habits; The mechanics of a TT$300 monthly

Key points

- Small, regular contributions multiply over time
- Compounding allows growth to generate its own growth
- Consistency beats timing the market or waiting for windfalls

Examples from the lesson

- We are kicking off Module 5, Building Wealth Over Time, with Lesson 1: The Power of Consistency and Compound Growth.
- Think about putting TT$300 away every single month into a growing account, such as a local credit union or investment fund.
- That is about TT$10 a day, or the price of a quick doubles and a drink on the way to work.
- On its own, TT$300 a month seems modest, but when you combine it with time, something powerful happens.
- In your first year, your total contribution adds up to TT$3,600.
- If that account earns a steady return, you might see an extra TT$100 in growth.
- That brings your total ending balance at year one to TT$3,700.
- Now look at what happens over a five-year period.
- You have personally contributed a total of TT$18,000 over those sixty months.
- But because your money was earning growth that was added back into the pool, compound growth contributed an additional TT$2,500. Your total accumulated balance rises to TT$20,500. Let us stretch that timeline further out to twenty years.
- Over two decades of steady contributions, your out-of-pocket deposits equal TT$72,000.
- Yet, because of compound growth working over time, the growth portion adds an extra TT$63,000 to your account. That brings your total balance to TT$135,000. Notice what shifted over those twenty years. More than forty percent of your total balance came from compound growth, not from your paycheck.
- Compounding allows your growth to generate its own growth, transforming modest savings into a substantial cushion over twenty years.
- Next up is Lesson 2: Protecting What You Build: Insurance, NIS, and Estate Basics.

Lesson 2: Protecting What You Build: Insurance, NIS, and Estate Basics

In this lesson: Foundation of National Insurance (NIS); Personal Insurance Coverage; Wills and

Key points

- NIS contributions form your baseline state security @ "NIS contributions establish your baseline state security,"
- Private insurance shields savings from disasters @ "private health, life, and property insurance protect your"
- Beneficiaries and wills enable seamless asset transfer @ "Naming direct beneficiaries and writing a clear will ensures"

Examples from the lesson

- We are moving right along in Module 5, "Building Wealth Over Time."
- But building wealth is only half the battle; if you do not guard the house, one unexpected blow can wipe out years of hard work.
- That is why today, in Lesson 2, "Protecting What You Build: Insurance, NIS, and Estate Basics," we are mapping out the core protections every Trinidad and Tobago household needs.
- Without them, one sudden accident ruins the entire trip.
- Imagine Ramesh earns a gross salary of TT$8,000 per month.
- Every month, his mandatory employee NIS contribution of TT$275.20 is deducted to secure his long-term state pension and medical cover.
- To protect his family against major life disruptions, Ramesh also budgets TT$350.00 each month for a personal life and health insurance policy.
- This means his total monthly protection investment comes to TT$625.20.
- When we subtract this TT$625.20 total protection investment from his TT$8,000.00 gross salary, Ramesh retains TT$7,374.80 for his regular living expenses and long-term wealth building.
- By structuring his monthly budget this way, Ramesh guarantees that over ninety-two percent of his income goes toward daily life and savings, while his essential risk coverage remains fully active.
- Beyond the monthly numbers, Ramesh takes two crucial legal steps to lock in his estate basics.
- Up next, in Lesson 3, "Your 12-Month Financial Fitness Plan," we will bring everything together into a actionable roadmap for the year ahead.

Lesson 3: Your 12-Month Financial Fitness Plan

In this lesson: Clarify yearly goals; Map cash flow; Assign monthly actions; Track and adjust.

Key points

- Define goals, map cash flow, assign surplus, track and review
- Use automatic transfers to stay consistent
- Review every three months to adapt to life changes

Examples from the lesson

- You are in the Complete Financial Literacy course, Module 5: Building Wealth Over Time, Lesson 3: Your 12-Month Financial Fitness Plan.
- Write them down in three buckets: short-term goals like a new Carnival costume or a fete ticket, medium-term goals such as an emergency fund or paying off a credit card, and long-term goals like buying a home or boosting your retirement savings.
- Let’s work through a real Trinidad & Tobago example. Suppose your net monthly income is TT$3,500. Your regular expenses total TT$2,800, leaving a surplus of TT$700 each month.
- You decide to assign TT$300 to your emergency fund, TT$200 to paying down a credit-card balance, TT$100 to a Carnival costume fund, and TT$100 to a retirement savings account at your credit union.
- These choices reflect your priorities and fit comfortably within your surplus. Now look at the twelve-month outcome. Saving TT$300 each month builds an emergency fund of TT$3,600 by year’s end.
- Paying TT$200 monthly reduces your credit-card debt by TT$2,400.
- Setting aside TT$100 monthly for Carnival gives you TT$1,200 for a fabulous costume and fete experience.
- And TT$100 monthly into retirement yields TT$1,200 plus any interest your credit union offers.
- Celebrate milestones—maybe treat yourself to a healthy doubles after you hit the first TT$1,000 emergency-fund mark.
- Review your plan every three months to keep it aligned with any changes in income or expenses.
- In the next module, Module 6, we will explore how to grow your wealth further by looking at investment options available in Trinidad & Tobago—stocks, bonds, mutual funds, and real estate—so you can make your money work harder for you.

Recap checklist — can you say each one?

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Lesson 2: Protecting What You Build: Insurance, NIS, and Estate Basics

☐ NIS contributions form your baseline state security @ "NIS contributions establish your baseline state security,"

☐ Private insurance shields savings from disasters @ "private health, life, and property insurance protect your"

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Lesson 3: Your 12-Month Financial Fitness Plan

- ☐ Define goals, map cash flow, assign surplus, track and review
- ☐ Use automatic transfers to stay consistent
- ☐ Review every three months to adapt to life changes